

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **U.S. stocks** shuddered after investors resumed a weekslong bond selloff that has defied the Treasury Department's attempts to curb borrowing costs. The S&P 500, Dow and Nasdaq shed 0.9%, 1.3% and 1%, respectively. **A1**
- ◆ **All U.S. leading** economic indicators but one edged higher in July, signaling potential moderate growth ahead. **A2**
- ◆ **Walmart reported** its smallest sales gain in more than six years as some consumers continue to spend cautiously, especially in the retailer's physical stores. **B1**
- ◆ **Weil, Gotshal & Manges**, known for guiding companies through bankruptcies and advising private-equity firms, faces a wave of partner defections. **B1**
- ◆ **Abbott agreed** to pay \$670 million to resolve a lawsuit over its specialty formulas for premature infants as well as about 2,000 related claims. **B3**
- ◆ **Starbucks will lay off** more than 200 corporate staff two years into a turnaround effort pursued by Chief Executive Brian Nicol. **B3**
- ◆ **Deere posted** higher profit and sales for its fiscal third quarter, as growth in its construction-equipment business helped offset weakness elsewhere. **B3**
- ◆ **Alibaba's earnings** slumped in its fiscal first quarter as the e-commerce heavyweight continued to pour large sums into artificial intelligence. **B4**
- ◆ **A bankruptcy court** delayed approval of Google's \$10 million purchase of Spirit Airlines' data after former flight attendants objected to the sale. **B4**

Worldwide

- ◆ **Romania said it** deployed two F-16 jet fighters to destroy a Russia-launched explosive marine drone that threatened hundreds of lives near one of its gas platforms. **A6**
- ◆ **The U.S. began** deporting immigrants to Liberia, officials in the West African country said, part of the president's plan to send migrants to third-party countries. **A5**
- ◆ **Trump suggested** a revival of the long-contested Keystone XL oil pipeline could be in the cards when he said the U.S. was close to reaching a trade deal with Canada. **A5**
- ◆ **California companies** have drawn about \$366 billion of venture capital since the year began, more than three times the amount of such funding directed to the other 49 states combined. **A3**
- ◆ **The captain of an** overloaded boat that capsized in New York Harbor this month, killing a woman and her 5-month-old infant, was arrested by federal authorities and faces deportation. **A3**
- ◆ **A court in China** sentenced Hui Ka Yan to life in prison after the nation's property bust led to the collapse of his China Evergrande Group. **A8**
- ◆ **Low water levels** in Germany caused by recent heat waves are likely to impede the country's economic growth in the third quarter, the Bundesbank said. **A9**
- ◆ **Bangladesh's** Parliament elected a stalwart of the country's new ruling party to the presidency after the post fell vacant in July, when the incumbent resigned. **A8**

CONTENTS	Mansion.....	M1-12
Arts in Review A11-12	Markets.....	B9
Business & Finance... B2	Opinion.....	A13-15
Business News..... B3	Sports.....	A16
Capital Account..... A2	Technology.....	B4
Crossword..... A12	U.S. News.....	A2-5
Heard on Street... B10	World News.....	A6-8-9



Russia Pummels Kyiv as Air Defenses Dwindle



SERGEY DOZHENKOV/SHUTTERSTOCK

DEADLY STRIKE: A rescuer Thursday helped a local woman after a Russian airstrike on a residential area in Kyiv. At least 15 people were killed in and around the capital Wednesday night as Ukraine is running out of Patriot air-defense missiles. **A6**

Politicians Reverse Positions On Data Centers Amid Outcry

Issue becomes a mounting liability for Republicans and some Democrats

By AMRITH RAMKUMAR AND SABRINA RODRIGUEZ

In November, Texas Gov. Greg Abbott declared his state the “epicenter of AI development” while announcing a \$40 billion investment by Google. Less than a year later, the Republican said he halted approvals of some 1,800 new data

centers worth billions of dollars on concerns that they use too much power and water. The move earlier this month drew the ire of President Trump, who this week staunchly defended the centers as an economic engine. A growing voter outcry over data centers that strain resources and fuel a technology capable of putting Americans out of work is becoming a mounting liability for Republicans and some Democrats in this fall's elections. Abbott's opponent in his bid for a fourth term, Democrat Gina Hinojosa, has hammered him on the issue while climbing within a few percentage points in recent polls.

“The data center issue is the latest example of a governor who has been doing the bidding of moneyed interests instead of the people of Texas,” Hinojosa said in an interview. Abbott has said companies have agreed to guardrails that minimize disruptions to local water and power markets, showing his plan is working and protecting Texas communities. Hinojosa, a state representative, said protections

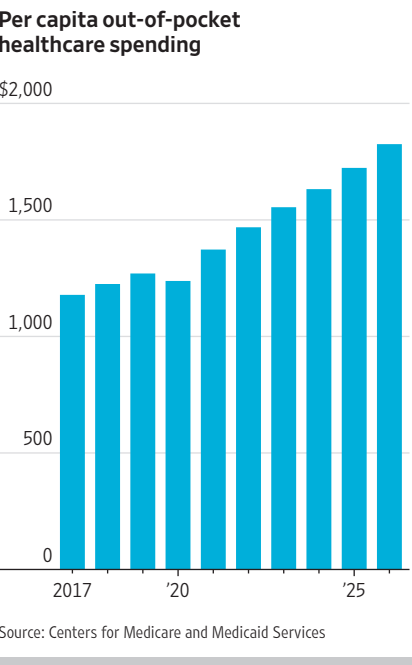
should be enshrined in law. She released a new ad Tuesday featuring a person asking a chatbot why their electric bill is going up. The bot responds that it is because of data centers approved by Abbott, who has received millions of dollars in campaign donations from executives and companies tied to AI including Elon Musk. Democrats around the country are deploying the same playbook. Abdul El-Sayed, a

◆ Heard on the Street: AI tests off-grid power..... B10

SpaceX Amasses Big Wins In Trump's Washington

By MICAH MAIDENBERG AND DREW FITZGERALD

SpaceX has had a bumpy ride on Wall Street, but in Washington, Elon Musk's space-and-artificial intelligence company has been racking up big wins. This year, SpaceX has secured billions of dollars' worth of government business to build and launch military satellites, even after lawmakers made an extra push to give other contractors a shot. The Trump administration is allowing SpaceX to sidestep some wireless-network requirements, while pushing to cut environmental reviews related to rocket launches. “There's been a lot of focus on their contract wins,” said Todd Harrison, a defense analyst at the American Enterprise Institute, a conservative-leaning think tank. “In the bigger scheme, the regulatory wins have more systemic, long-term implications for their business model.” SpaceX's mastery of building and launching payloads to space has made it the go-to partner for U.S. military and intelligence offices. SpaceX President Gwynne Shotwell referenced the company's national-security satellite wins during the company's August investor call, saying she was “very bullish on government” deals. A little more than a year ago, people close to the discussion said the company was “very bullish on government” deals. *Please turn to page A5*



Health Benefits Under Pressure

Employers next year might be facing the biggest health-insurance increase in at least two decades. As companies are forced to pay more for insurance, their workers, who typically pay a share of the premium, are seeing their own costs rise roughly in tandem. **B1**

The Claw Machine Is Back. And This Time, You Might Win.

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Operators actually want customers to grab the goods—at least once or twice

By LILY BELLE POLING

Stephany Falcon couldn't believe her luck. In just 15 minutes at a Manhattan arcade, the 20-year-old college student and her boyfriend had collected three prizes from the rows of claw machines. After snagging a pink-and-red monster plushie, she excitedly jumped up and down. The claw machine—that infamous promiser of childhood treasures, known for stealing your quarters and almost never yielding up an upgrade. Modern games, trimmed with neon lights, are filling

storefronts and bringing life to malls in cities and suburbs across the U.S. They're stocked with luxe plush toys, Hermès bags, fresh vegetables and even sourdough starter. But the biggest change may be that today's operators actually want their customers to win—at least once or twice. “We only win if you win,” said Brad Howard, co-founder and managing partner of Fantasy Claw Arcade, which is expanding through franchising. “You were gonna buy it for \$20. We want to sell it to you for \$20. But we're going to sell it to you in the form of game play.” *Please turn to page A10*

Hawaii Chases The Startup Wave

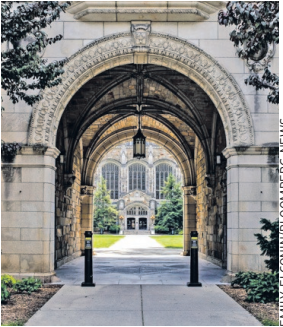
Officials hope new tech jobs will keep young people from leaving the state

By OWEN TUCKER-SMITH

KAILUA, Hawaii—The seaside streets bear the unmistakable look of a Hawaiian beach town, an oasis of palm trees, swimsuits and surfboards. Yet tucked behind a café where baristas make \$11 lattes, young workers write code, design machinery and operate an industrial laser that can cut through a car door—all in service of the Airform, a heating and cooling system dreamed up by the engineering startup Norm Corp. Elsewhere on the island of Oahu, students at the University of Hawaii make equipment bound for the

moon. In a yurt on a hill overlooking the surf on the North Shore, young scientists create parts on 3-D printers for wastewater-treatment machines. In a Honolulu basement, engineers make textiles out of chicken feathers. These men and women belong to a band of whip-smart engineers building a manufacturing and technology industry that officials hope will rescue Hawaii from a sagging tourism economy, depressed wages and an exodus of young residents to the mainland. The flow of inflation-adjusted tourism dollars into Hawaii's economy peaked *Please turn to page A10*

INSIDE



U.S. NEWS
Colleges are hurtling toward an enrollment cliff as birthrates have fallen. **A3**

MANSION
The rich and famous who can't get into Miami's most exclusive country club. **M1**